

Article | 11 September 2026

FX RATES UNITED STATES

FOMC preview: Fed set to hike 25bp in recalibration move

We changed our view to a 25bp Federal Reserve rate hike in September in the wake of Chair Kevin Warsh's address at the Jackson Hole symposium. The data since then has justified that decision. Our projections for jobs and inflation suggest no need for a series of hikes



We expect a 25bp hike on 16 September but think this will be a one-and-done affair

Fed hike not the start of a new tightening cycle

After sounding hawkish in June and then backtracking somewhat at the July FOMC press conference, Chair Warsh was under pressure to clarify the Federal Reserve's reaction function under his leadership at Jackson Hole. He emphasised a focus on inflation, which has been above target for five and a half years, and a sense that financial conditions aren't tight in an environment of full employment. This suggested we needed to change the way we thought about the September Fed decision. Previously, it was that the Fed would hold unless the data justified a hike. [That changed to the Fed hiking, unless the data justified a pause.](#)

August's jobs report came in hotter than anyone forecast in Bloomberg's survey of economists and the August CPI report showed headline inflation remains above target at 3.4% while core CPI rose 0.29% month-on-month, nearly double the 0.17% trend rate needed to bring annual inflation down to the 2% target. In an environment where business surveys have hinted at a

re-acceleration in economic activity over the summer and where the disruption to shipping out of the Middle East has pushed oil prices above \$100/bbl, Chair Warsh's emphasis on trends rather than individual data points suggests he has made his mind up to propose a hike. No-one on the FOMC is openly hostile and Treasury Secretary Scott Bessent is likely in favour as he nervously watches longer-dated Treasury yields climb. Even President Trump has seemingly given him a pass, saying "he'll do what he has to do."

Ordinarily the assumption is that if the Fed hikes, they don't just go once. Financial markets are now pricing two and a half further rate hikes after the all-but-assured 16 September move. However, this time around we think that one and done might be the case. Market and consumer inflation expectations remain in check while consumer confidence is at all-time lows, so we see parallels with the late 1990s cuts in early 1996 before a pause, then one "risk management" hike implemented by Alan Greenspan's Fed in March '97 before a long pause through late 1998.

ING's expectations for Fed forecasts versus the June Summary of Economic Projections

	2026	2027	2028	2029	Longer run
Change in real GDP (4Q YoY%)	2.2	2.3	2.2	2.2	2.0
Previous Fed projection (June)	2.2	2.3	2.2	-	2.0
Unemployment rate (% year end)	4.2	4.3	4.2	4.2	4.2
Previous Fed projection (June)	4.3	4.3	4.2	-	4.2
Core PCE inflation (4Q YoY%)	3.1	2.3	2.0	2.0	2.0
Previous Fed projection (June)	3.3	2.5	2.1	-	-
Federal funds rate (year end)	3.875	3.875	3.625	3.375	3.1
Previous Fed projection (June)	3.8	3.6	3.4	-	3.1

Since the Federal Reserve's last forecast update, we saw a weaker than expected 2Q GDP report, a softer trend in job creation, notwithstanding the August surprise, while inflation has shown some encouraging signs of decelerating, even if the year-on-year rate remains above 2%. We continue to argue that weak wage growth, tariff refunds and a stagnant housing market, which will slow shelter inflation, will all contribute towards a convergence on the 2% inflation target next year. The risk is energy prices. In general though, we expect the Fed to project slightly lower inflation than they had in their June forecast while the GDP and labour metrics are little changed. We expect them to have 4% as their end 2026 and end 2027 Fed funds forecast before it heads to their previous long-run projection for the Fed funds rate of 3.1%.

Unruly Treasury market circumstances warrant a controlling influence from the Fed

Chair Warsh will be very aware that the 10yr Treasury yield is looking for an excuse to mark at 5%. Now at 4.9%, it's been bullied up there partly by high inflation readings, and more

worryingly, a more recent slow ratchet higher in inflation expectations. These are not at sinister levels, but could do with some treatment from the Fed in order to at least help contain them. A 25bp hike could or should help. That said, whether the Fed hikes or not, the 10yr yield is liable to test 5%. It's up there mostly on account of higher real yields in fact. There is not much the Fed can do about that, to the extent that it reflects productivity growth expectations (the good), wider issuance pressure (the bad), or the evolution of the Iran war's effect on oil prices (the ugly).

He will also be cognisant that the 2yr carry spread (spread to the funds rate) has shot out to 90bp. Anything above 75bp on this metric and the market is giving the Federal Reserve the nod to hike. It does not telegraph when. But it lets the Fed know that it's braced and ready for a hike. It's actually a tad surprising that the probability of a September hike has not hardened by more on the back of this, but there is plenty of time for that to happen over the remaining days leading up to the meeting. In terms of the curve shape, we'd prefer to fade the flattening trend seen of late, as we think the carry spread has discounted more than it needs to, and the back end of the curve is primed to test higher regardless. See more [here](#).

Hike can help stabilise the dollar

The DXY dollar index is currently trading close to the centre of this year's 96-102 range. Yet that observation alone masks some reasonably large swings driven by US foreign policy (Greenland, Iran), Kevin Warsh's arrival at the Fed and most recently US Treasury intervention in FX and bond markets.

We think the dollar would welcome a hike in that it would back up the Fed's monetary policy credibility and take a little more steam out of the debasement trade. Remember that trade had evolved last year both from doubts over Fed independence and more recently from US Treasury intervention. Some modestly higher rates at the very short-end of the US curve won't hurt the dollar either.

At the same time, the dollar is under-appreciating the jump in energy prices, where terms of trade continue to tumble in both Europe and Asia. Despite a hawkish European Central Bank, we still favour EUR/USD working its way towards the 1.1500 area over coming weeks and see risks of a [correction back to 157/158 in USD/JPY](#) – especially if the Bank of Japan does not meet hawkish expectations when it sets policy two days later. A higher USD/CHF will also be in focus again as rate spreads move against the Swiss franc.

Yet the dollar does not need to rally too far. After all, we think this is a recalibration of Fed policy, not a new cycle. And our house view remains for the dollar to decline through next year – especially in the second quarter when US inflation is back down to target and money markets can switch their focus to easing from tightening. That means June's 101.80 likely marked the high point for the DXY this year.

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UNITED STATES

Sticky US inflation justifies a Fed rate hike

US headline and core inflation came in well above the 0.17% month-on-month trend rate required to bring the annual rate down to the Federal Reserve's 2% target. Given Fed Chair Kevin Warsh's hawkish spin at Jackson Hole, he will be pushing for a rate hike next week and a majority on the FOMC will likely agree.



US inflation is too high and we expect a one-off rate hike

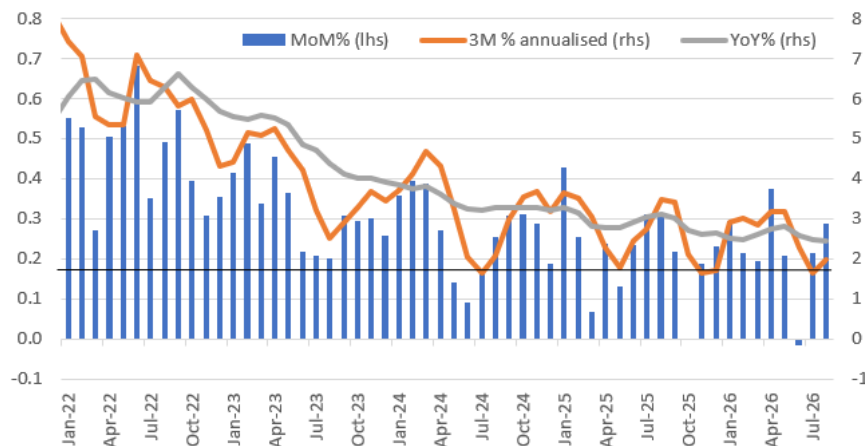
Inflation continues to trend too hot for comfort

US August CPI has come in to match the 0.4% month-on-month and 3.4% year-on-year consensus expectation. However, the core inflation index (ex-food and energy) rose 0.3%/2.4%, which is hotter than the 0.2% MoM expected. To three decimal places, it came in at 0.290% MoM. Remember, we need to average 0.17% MoM over time to bring the YoY inflation rate trending towards the Fed's 2% target. This outcome has reinforced market expectations of Fed policy tightening next week, with Fed funds futures contracts implying an 85% chance of a 25bp rate hike – an outcome that we fully expect.

The chart below shows the MoM, 3M annualised and YoY rates of core inflation. The black line marks 0.17% MoM, which is what the blue bars need to trend at to bring annual inflation down to 2%. The details show energy prices rose 2.1% MoM, led by a 3.9% jump in gasoline prices.

Higher fuel costs pushed airline fares 2.7% higher while education and communication prices jumped 1.6%. On the opposite end, apparel, recreation, food and housing were all benign. We should also remember that the Fed's favoured inflation measure, the core personal consumption expenditure deflator, is running even hotter at 3.3% YoY.

Core US inflation metrics (MoM%, 3M annualised, YoY%)



Source: Macrobond, ING

We expect a one-off hike

With Kevin Warsh warning that inflation has been above target for too long in an environment where the economy is at full employment and financial conditions aren't restrictive, there should be a decent majority of FOMC members backing a hike. Markets don't expect them to stop there, with Fed funds futures looking at potentially three further rate hikes over the next 12 months. We are not in that camp. If we see an improvement in energy flows from the Strait of Hormuz in coming months, fears of a renewed upswing in inflation will likely be proved wrong. Weak wage growth and tariff refunds provide relief on corporate costs and the cooling housing market will continue to dampen the shelter component of inflation. We, instead, think this is merely a recalibration of Fed policy, similar to the hike implemented by Alan Greenspan's Fed in 1997.

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JAPAN

Bank of Japan preview: 25bp hike incoming

The Bank of Japan meets on 18 September to set rates. A 25bp hike to 1.25% is widely expected, with the market close to pricing in a further 25bp hike by the end of the year. Money market rates have surged since June, raising the risk of a yen-negative reaction if the BoJ fails to confirm a more aggressive tightening cycle



Kazuo Ueda, Governor of the Bank of Japan

Why have rates moved so much?

The market's previous view on the BoJ tightening cycle had been that one 25bp hike would be delivered every six months. The terminal policy rate was always seen to be around 2.00%, but until recently investors expected the BoJ to take two years to get there.

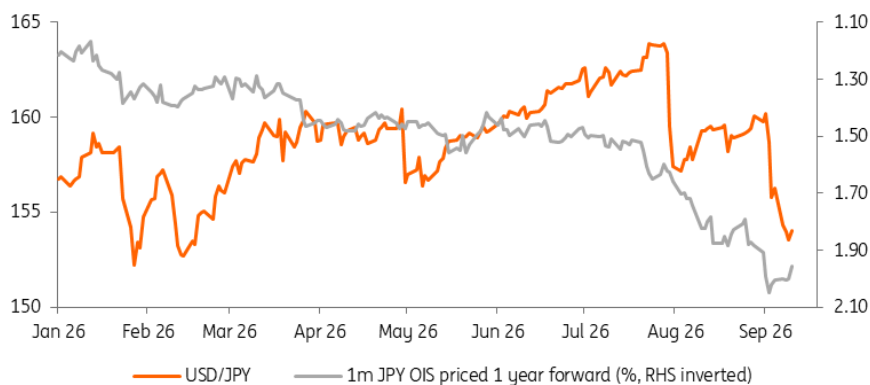
Since June, however, that pricing has shifted aggressively. One-month JPY OIS rates priced one year forward have risen a staggering 50bp since the start of July. What's changed?

It is hard to blame the renewed rise in energy prices for the re-pricing in money markets, since there was not a big re-pricing during the first surge in crude oil in March. Instead, it looks like the US Treasury's FX intervention in late July has played a significant role. Here, US Treasury

Secretary Scott Bessent has signalled that he expects the BoJ to raise rates at a quicker pace to provide macro support to the yen buying intervention.

Also helping the repricing has been local Japanese data. Real cash earnings rose by 2.4% year-on-year in July, reinforcing the narrative that producers will be able to pass on higher input costs.

Sharp repricing in short-dated rates weighs on USD/JPY



Source: Refinitiv, ING

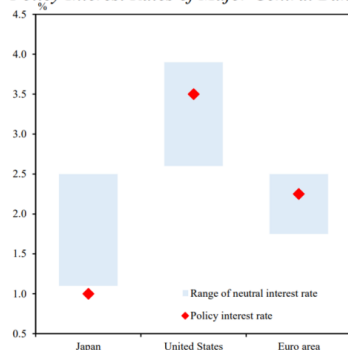
The BoJ's perspective

Formal communication from the BoJ this year has acknowledged that the real policy rate is negative and needs to be raised. Various BoJ speeches have discussed the concept of a neutral rate, which most see in the 1.1-2.5% range in nominal terms.

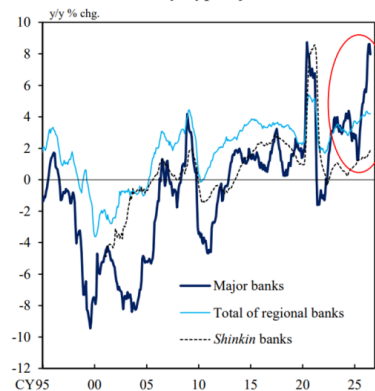
The diagram below has appeared in a few BoJ presentations recently and serves as a reminder that monetary conditions are too loose now that inflation is seen sustainably above 2.00% into FY2028. Among many of the positive charts in these presentations, one that stood out was the 10% year-on-year loan growth from 'Major Banks' – matching the peak from early 2020. Clearly, financial conditions are far from tight.

BoJ's views on neutral rates and loan growth

Range of Neutral Interest Rate and Policy Interest Rates of Major Central Banks



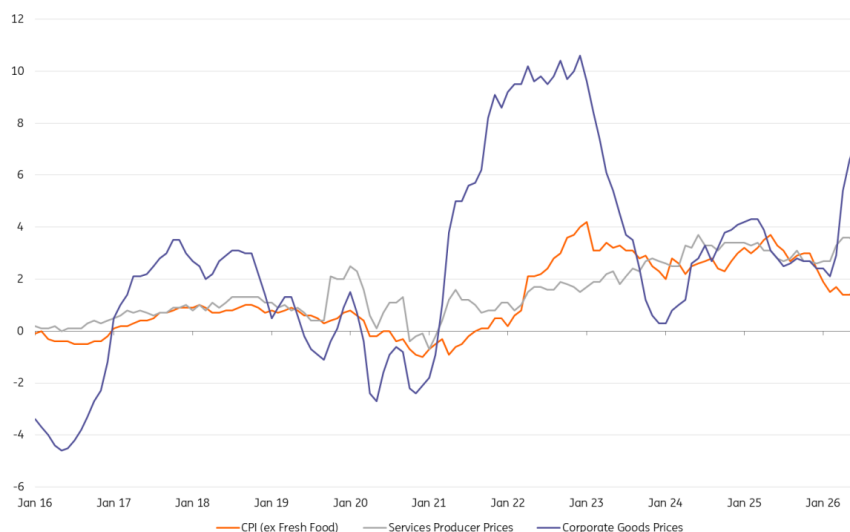
Loans by Type of Bank



Source: Bank of Japan

When it comes to prices, the BoJ narrative has firmly shifted towards inflation moving onto a sustainable path. One central theme now is that higher input/producer prices are more likely to feed through into broader CPI. The most recent Tankan business survey showed output price expectations rising sharply and the BoJ is focusing heavily on the 7% year-on-year growth in corporate goods prices.

Japan's measures of inflation (%, year-on-year)



Source: Refinitiv, ING

The decision

We doubt the BoJ would want to shock investors and Scott Bessent by leaving the policy rate unchanged at 1.00%. A 25bp rate hike to 1.25% looks likely. The marginally bigger risk than unchanged rates is a 50bp rate hike, perhaps as part of a broader understanding with Washington designed to sustainably push USD/JPY lower, reduce the need for large-scale dollar selling intervention from the BoJ and help stabilise JGBs.

However, the Japanese government has an aggressive pro-growth strategy and will no doubt express its views against a more aggressive tightening cycle. Maybe we are underestimating a shift here, but it is hard to see government officials backing a much faster tightening cycle of either a 50bp hike in September or back-to-back hikes in September and October. Instead, our house view is for two further 25bp rate hikes next January and April, which would take the policy rate to 1.75%.

A near-neutral 1.75% policy rate next April seems an appropriate target before the consumption tax on food and non-alcoholic beverages is cut from 8% to 1% that month for two years. That will sharply depress headline inflation – perhaps for the next two years – and would create a difficult environment in which to deliver further tightening.

FX: Yen bulls risk some disappointment

USD/JPY has already fallen sharply on expectations of faster BoJ tightening and speculation over major shifts in GPIF investment allocations, perhaps in late October. Before the BoJ meeting, USD/JPY will have had to contend with (ING's forecast) a Fed hike two days earlier and higher energy prices.

In FX, we see a greater risk that the BoJ fails to match heightened speculation over a follow-up rate hike in December, while October looks far too early. Equally, some may be disappointed if there is no news from the GPIF on the same day. If so, USD/JPY could be due a correction to the 157/158 area, where presumably more supply awaits ahead of potential policy announcements in late October.

For reference, the FX options market is pricing around a 200 yen pip range for USD/JPY on BoJ decision day.

Rates: The back-end to get more protection

The big theme going into this Bank of Japan meeting has been the marked widening of the carry spread (BoJ spread to the 2yr), which is out to the 80s bp area. That's the widest it's been during the current rate-hiking cycle. Typically, the widest carry spread would be at the initiation of the rate-hiking cycle. The fact that it's widest now points to a market discount for a degree of acceleration in the rate-hiking process. The absolute level of the carry spread points to the delivery of at least 50bp on top of the 25bp that we expect to be delivered at the upcoming meeting.

The 2/10yr curve in the meantime has flattened from the front end, broadly in tandem with the upside pressure that widened the carry spread. Indeed, longer tenor rates have managed to come off prior highs. This is particularly marked in the 30yr Japanese Government Bond benchmark yield. It had touched 4.2%, before gapping back down to just under 4% in the past couple of weeks. Much of this move gelled with the notion that the BoJ would inevitably hike at

the upcoming meeting, and for it to be a hawkish hike, one that was more cognisant of the inflation risks that had been compromising long-dated yields.

Delivery of a 25bp hike plus a hawkish tone should help consolidate, or at the very least, validate these moves. The 4+% area of the long end of the JGB curve remains a level that we would identify as offering structural value. Deep discount off-the-run low-coupon lines continue to offer generous absolute yields in the 5%+ region. These are remarkable valuations given where JGB yields have come from (practically from zero in 2019).

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FX RATES UNITED KINGDOM

Why the Bank of England might not be as hawkish as you think

Rising natural gas prices pose a serious headache for the Bank of England ahead of its 17 September meeting. But there's very little sign that inflation is broadening out beyond energy. And unlike the US and even the eurozone, it's harder to argue that rates aren't currently having a restrictive impact. We expect a 6-3 decision to keep rates on hold



Governor of the Bank of England, Andrew Bailey. We're expecting a 6-3 decision to keep rates on hold at next Thursday's meeting

Our Bank of England view in a nutshell

- We expect the Bank of England to keep rates on hold at 3.75% with another 6-3 vote at its 17 September meeting.
- A November rate hike becomes more likely only if energy prices stay consistently high – and there are reasons to think they won't.
- Unlike the ECB, we expect the Bank's doves to hold their ground and reiterate that the risk of second-round effects on inflation remains low. There's even a tail risk that Governor Andrew Bailey pushes back against market pricing for four rate hikes over the next year.

- Our base case is that the Bank keeps rates on hold until next year, when it will cut rates twice (April and November), though clearly the risk is that those cuts come later.
- We expect the Bank to cut the pace of quantitative tightening (QT) to £50bn for the next 12 months, down from £70bn last year.

A tough backdrop - but the case for rate hikes isn't compelling

The backdrop to this month's Bank of England meeting could hardly look more challenging. The rise in oil prices, and especially natural gas prices, raises the very real possibility that inflation could peak at or above 4% this winter. And 4% is a level that the Bank has previously said is statistically more likely to see inflation broaden out beyond energy prices via so-called second-round effects.

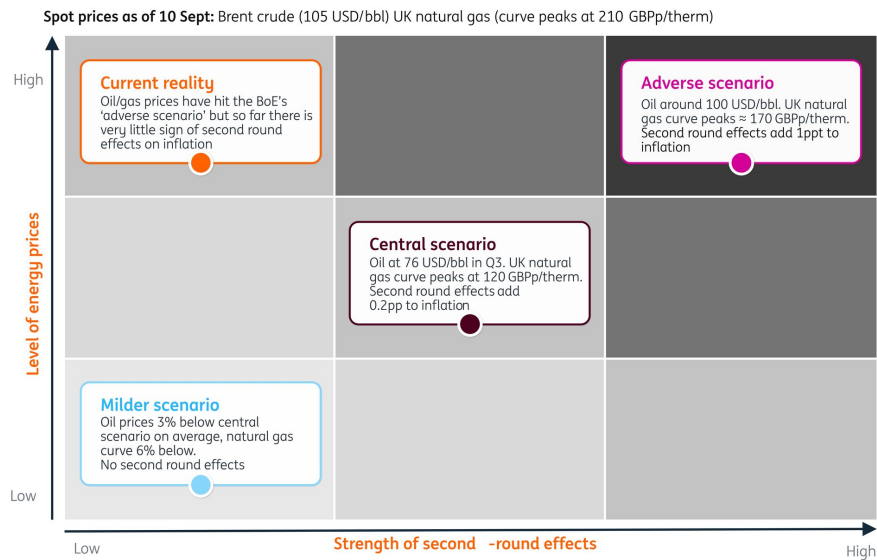
We're now living the Bank's adverse energy scenario that it laid out in its July projections – a scenario which its models suggested could warrant up to four rate hikes.

Yet there are good reasons to think that won't happen. And in sharp contrast to the European Central Bank this month, we don't expect the BoE to turn materially more hawkish at its September meeting.

Firstly, the Bank has consistently said that it is focused on the length of time energy prices stay at elevated levels. Today's prices are a problem if they stay high into November's meeting. But as our team's [energy base case](#) outlines, there are valid reasons to think they won't. And the sheer volatility of prices so far in this crisis warns us against extrapolating today's worrisome backdrop.

Secondly – and much more importantly – there is very little sign that the energy shock is broadening out to the wider inflation basket. That undermines a key assumption underlying the Bank's scenario, which was that the severity of second-round inflation effects increases disproportionately with the level of energy prices. Those July projections suggested that indirect energy effects would contribute one percentage point to inflation at the peak. The current evidence suggests it won't be anywhere near as bad as that.

The Bank's scenario framework - and where we stand now



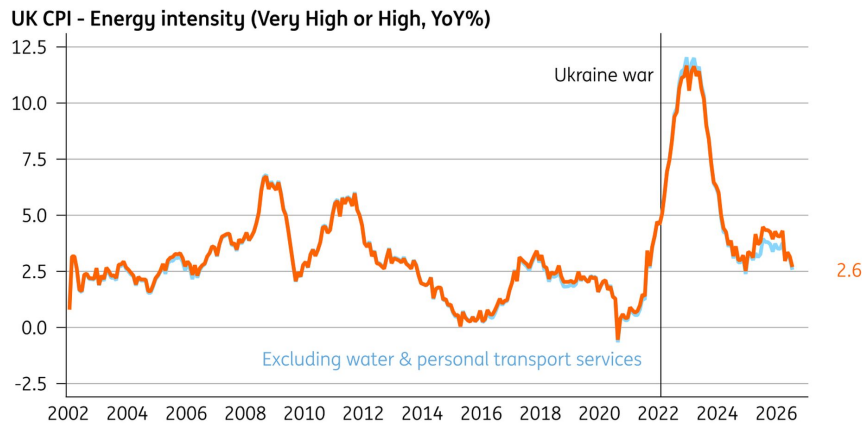
Source: Bank of England, ING

We've been tracking inflation for goods and services that are particularly energy-intensive, and it has actually fallen this year, even after you account for last year's water and car tax hikes. Food inflation has plummeted – from 3.6% in January to 1.3% in July – and producer price data suggests this could actually go to zero in the short term.

Sure, it's early days. All the models will tell you that you're unlikely to see the peak impact of higher energy prices on these categories for 12-18 months. But we should be seeing something already – and we're not.

It's a similar story with wage growth. At a little over 3%, once adjusted for quirks in the data, private sector wage growth is bang on the level the Bank believes is consistent with achieving its 2% inflation target in the medium term. And while this, too, is a slow-moving beast, there's next to no sign in the surveys that this is going to change.

Energy intensive inflation has fallen this year



Source: Macrobond, ING

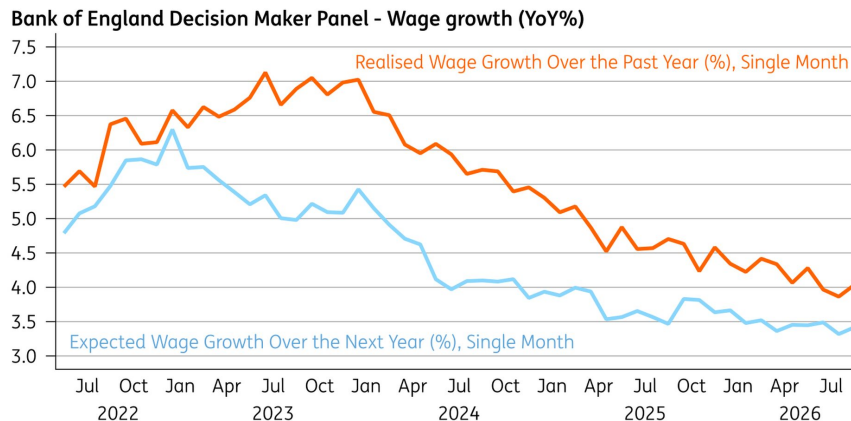
It's hard to argue that rates aren't currently restrictive

The jobs market remains fragile. Rate-sensitive sectors like construction are particularly weak, even if the overall UK growth story is receiving an increasingly noticeable boost from AI. So unlike the US or even the eurozone, where there is a live debate about whether monetary policy is restricting activity at the current level of interest rates, that is a much harder argument to make in Britain.

That's particularly true when you consider that the UK is virtually the only major economy engaging in material fiscal tightening this year. Tax as a share of GDP is set to rise by half a percentage point in the current fiscal year, given the ongoing freeze in tax thresholds. There remains a question mark over how this will change in the October budget, but the scope for material fiscal stimulus under the current fiscal rules is extremely limited. The recent rise in bond yields appears to be focusing minds in Westminster, too.

A rate hike in November is not impossible, but it is not inevitable. We're sticking to our base case that the Bank will keep rates on hold into next year. If energy prices ease and become less volatile, there is still a valid case for rate cuts in 2027.

Wage growth expectations remain low



It's worth remembering that the Bank's committee is deeply divided. Three officials have already voted for a hike – and will do so again this month. But the gap between them and the six doves appears large. Even Clare Lombardelli, who was previously closely aligned with the hawks, said after July's meeting that the decision to keep rates on hold wasn't a difficult one.

The Bank's doves appear increasingly confident that the UK economy is much less susceptible to another 2022-style inflation wave. The July meeting minutes show that, if anything, those views have hardened since the start of the crisis.

The key question for this meeting is whether there's any sign that the doves, en masse, are moving closer to a hike. We suspect they won't. There's even a risk, though probably small, that Governor Bailey opts to push back against market pricing – which now looks extreme.

Back in April – when the ECB was busy talking up the chances of a hike – Bailey came out and said that markets were “getting ahead of themselves” on rate hikes. Back then, two rate rises were priced in. Now, there are four. This would be a bold shout in the current market environment, but it is definitely something to watch for at next Thursday's meeting.

Quantitative tightening – keeping it simple

With all that in mind – and given how fragile bond markets are right now – it might be tempting to conclude the Bank should significantly wind down its quantitative tightening programme. That looks unlikely, though officials are widely expected to slow the pace of balance sheet reduction for the next 12 months, relative to the last.

Over the past 12 months, the Bank's bond holdings have shrunk by roughly £70bn through a combination of circa £50bn redemptions and £20bn active sales. The level of redemptions over the next 12 months is set to be reduced to £28bn – and we suspect the Bank will opt to keep its active sales roughly stable.

That points to a QT 'envelope' of £50bn for the coming year, which is fairly consensus. And the Bank has a habit of delivering on those consensus expectations. The strong rise in gilt yields is still mostly an inflation story, which means a slowdown in QT does not change the bigger picture.

GBP rates gripped by external factors

Given the sharp contrast between our own (and the consensus) Bank of England view and market pricing right now, it begs the question of when the two might start to converge.

The truth is that external factors currently have a stronger grip on rate markets than the Bank of England. That means oil and US rates will likely stay in the driving seat for now. For every \$10 increase in oil prices, gilt yields rise by some 10-15bp. Meanwhile, a strong rise in US real rates is adding upward pressure to UK interest rates too. Higher real rates are being driven by better-than-expected growth but also concerns about significant bond supply to absorb, from both governments and AI investments.

We therefore expect volatility in the gilt market to remain high for the time being. Only when second-round inflation risks soften in 2027 do we see more scope for yields to settle lower.

Sterling – remarkably low volatility

EUR/GBP continues to trade in exceptionally tight ranges, suggesting some kind of equilibrium has been found in the 0.85-0.86 range. The big cyclical question for sterling is when expectations of a 100bp BoE tightening cycle drop out of money markets and weigh on the pound. Were Governor Bailey to push back against those expectations at the September meeting, EUR/GBP would probably break higher. We have a 0.86 EUR/GBP forecast for end-September and a 0.87 view for year-end on the assumption that some of that aggressive BoE tightening is priced out.

But the main observation for EUR/GBP is its incredibly low volatility. Three-month realised volatility is about the lowest in twenty years. That makes it cheaper to buy FX options protection for corporates ahead of what could be a volatile period for financial markets. Be it the threat of higher bond yields taking down global equity markets or the new Burnham government trying to thread the needle of higher social spending and fiscal restraint, volatility levels will struggle to get much lower. Higher volatility not only weighs on sterling by undermining the carry trade (which is helping sterling currently), but the source of that volatility – probably from the financial sector – is a sterling negative too.

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Article | 10 September 2026

ECB remains focused on the here and now

At today's press conference, ECB President Christine Lagarde didn't give away any hints about what will be next for the central bank. Details of the ECB's staff projections, however, have left a hawkish aftertaste



Today's meeting left a slightly hawkish aftertaste, but we still struggle to envisage the ECB being willing to add more fuel to the fire

Lagarde's comments at today's press conference stressed that the ECB remains on high alert but also indirectly admitted it is in no better position than anyone else in financial markets; the only thing that's currently clear about the outlook (for monetary policy) is that nothing is clear. In other words, the outlook for the ECB's monetary policy remains highly dependent on both the external environment (mainly energy prices) as well as the pass-through of high energy prices into the rest of the economy.

Today's rate hike was a no-brainer

Even if the ECB doesn't like the term, today's rate hike decision – which brought the central bank's deposit rate to 2.5% – still falls into the category of an 'insurance' rate hike. Or, to put it in terms the Bank might prefer, it is a hike to stay ahead of the curve, demonstrating the ECB's high level of vigilance, and an attempt to prevent higher energy prices from feeding through to the broader economy.

While the stage was set for a rate hike, even under a more benign energy price outlook, the recent escalation in the Middle East and surge in oil prices have clearly strengthened the case for an increase. This is despite the fact that other inflation measures, like core and services, as well as survey-based inflation expectations, still suggest there are hardly any second-round effects from higher energy prices.

This picture is reflected mainly in the latest round of staff projections, which show inflation unchanged at 3% this year. For 2027 and 2028, the inflation forecast was revised upwards to 2.5% and 2.1%, respectively. Core inflation is expected to come in at 2.5%, 2.6% and 2.3% in 2026, 2027 and 2028, respectively. Growth was revised upwards slightly to 0.9% this year and 1.4% in 2027 (and 1.5% in 2028). Looking at the quarterly profile of the forecasts, inflation would only drop below 2% by the end of 2027. In the ECB's mild scenario, inflation would already be below 2% by the second quarter of 2027 – but in an adverse scenario, it would remain close to 3% by the end of 2028. Still, don't forget that the recent surge in bond yields and oil prices has not been fully incorporated into these forecasts.

Hawkish aftertaste

Considering the latest developments, today's rate hike wasn't controversial; it was almost a no-brainer. In light of higher actual and projected headline inflation, bringing the policy rate to the upper end of the range that the ECB itself calls 'neutral' did not pose any risk of being too activist or too restrictive. Even if Lagarde tried to downplay the concept of neutral interest rates during the press conference, at least as a guiding concept. In any case, the harm of doing nothing, at least for the ECB's credibility, is clearly more significant here. However, looking beyond today's hike paints a very different picture and is much more complicated.

Going further would mean that the ECB sees restrictive monetary policy as necessary. But there is a big difference between an economy that has shown resilience and an overheating economy that needs restrictive monetary policy. However, we have to admit that, looking at the ECB's staff projections, forecasting inflation above target for too long and the fact that these forecasts are based on interest rates pricing in between one and two more rate hikes, the risk of at least another rate hike is high. The counterargument to that view is that, with the highly volatile situation in energy markets, oil prices could also easily swing back in the other direction – which, in turn, would lead to significant changes in the ECB's inflation forecasts. In other words, if the situation in the Middle East were to ease before year-end and any indirect effects from higher energy prices remain absent, the need for the ECB to deliver additional rate hikes would disappear.

All in all, today's meeting left us with a slightly hawkish aftertaste. Even if we still find it hard to see – amid public finance woes and surging bond yields – that the ECB would really be willing to add more fuel to the fire. In other words, it's difficult to envisage the ECB being willing to risk a recession to tackle what is still a textbook supply-side shock. Admittedly, though, the ECB has made policy mistakes before.

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Article | 11 September 2026

CZECH REPUBLIC POLAND

CEE & CCA week ahead: Polish inflation data and central bank decisions

Poland will publish inflation, current account and industrial production data next week, while monetary policy decisions are due in the Czech Republic, Armenia and Uzbekistan



The Central Bank of Armenia is expected to keep the policy rate unchanged at 6.50% next week

Poland: Industrial recovery and inflation details in focus

July current account data will be released on Monday. We forecast that the deficit was only slightly narrower than in June, amounting to around €1.9bn, mainly driven by the deficit in trade in goods and the primary income deficit. Nevertheless, the deficit was probably wider than in July 2025, meaning that the 12-month rolling deficit increased to 1.1% of GDP from 1.0% of GDP in June. The external imbalance remains very small relative to the scale of the fiscal imbalance (around 7% of GDP), suggesting that fiscal financing needs are being met primarily from domestic sources.

The flash estimate of August CPI surprised to the upside, indicating price growth of 3.4% YoY, mainly driven by a strong monthly increase in fuel prices. As Statistics Poland typically does not fully capture price developments in the final days of the month when compiling the flash estimate, a slight downward revision to fuel price inflation cannot be ruled out. However, the final reading rarely differs materially from the flash estimate, usually by no more than 0.1pp.

The detailed data release on Tuesday should allow for a more accurate estimate of core inflation, which we currently expect at 3.2% YoY, up from 3.1% YoY in July.

Industrial production is recovering gradually, and the August reading on Friday is expected to be quite strong (8.3% YoY, up from 5.1% YoY in July), supported by a more favourable calendar effect, with one additional working day, and a low base from August last year. Output growth remains diversified across industrial sectors. Some industries are benefiting from the ongoing implementation of RRF-funded projects, such as other transport equipment, while others continue to struggle with competitive pressure from China, including the textiles and furniture sectors.

Czech Republic: CNB set to stay on hold as producer prices gain momentum

Wednesday brings the release of August producer prices, which likely gained strength in August, as the persistently elevated input costs for energy and basic materials continue to propel pricing of intermediate goods.

Meanwhile, the pass-through to end prices remains restrained due to significant international competition. The CNB is expected to keep the policy rate unchanged at Thursday's meeting, in line with the recent communication. That said, our outlook for rather punchy inflation at year-end and rocketing oil prices may complicate things in future. The current account deficit is expected to have eased in July.

CIS: Armenia and Uzbekistan central banks expected to hold rates

We expect the Central Bank of Armenia (CBA) to keep the policy rate unchanged at 6.50% at its upcoming meeting on Tuesday, with inflation continuing to fluctuate around 4.5% YoY. A cut is unlikely, as inflation remains above the CBA's $3\pm 1\%$ long-term target range and external inflation risks are mounting. At the same time, the case for a hike is limited, mainly because renewed remittance inflows are supporting further dram appreciation, cushioning external price pressures and reducing the need for a higher real rate.

Our base case is for the Central Bank of Uzbekistan to keep the policy rate unchanged at 14.00% on Wednesday, while adopting more dovish guidance that signals room for a cut by year-end. We would not rule out a September cut, although this remains a less likely scenario. The case for a softer policy stance rests on the high real rate, the steady deceleration in CPI inflation to 6.2% YoY in August, improved fiscal discipline, and continued soum strength, reinforced by the resumption of gold exports in July.

Key events in CEE & CCA next week

Country	Time (BST)	Data/event	ING	
Monday 14 September				
Poland	1300	Jul Current Account (EUR bn)	-1.9	-2.2
	1300	Jul Trade Balance (EUR bn)	-1.0	-1.5
Czech Rep	0900	Jul Current Account Balance (CZK bn)	-54.5	-80.5
Tuesday 15 September				
Turkey	0900	Aug Budget Balance (TRY bn)	-	-378.1
Poland	0830	Aug CPI (MoM%/YoY%)	0.4/3.4	0.4/3.4
Armenia	-	Policy rate (%)	6.50	6.50
Croatia	1000	Aug CPI Final (MoM%/YoY%)	-0.2/3.9	-0.2/3.9
Wednesday 16 September				
Czech Rep	0800	Aug PPI (MoM%/YoY%)	0.4/2.0	0.3/1.6
Uzbekistan	-	Policy rate (%)	14.00	14.00
Russia	1700	Aug PPI (MoM%/YoY%)	-/-	-2.5/6.6
Poland	1300	Aug Core CPI (YoY%)	3.2	3.1
Hungary	0730	Jul Average Gross Wages (YoY%)	8.1	7.1
Kazakhstan	-	Aug Industrial Production (MoM%/YoY%)	-/-	-6.1/0.1
Thursday 17 September				
Turkey	1230	FX Reserves (USD bn)	-	71.1
Czech Rep	1330	Rate Decision	3.75	3.75
Ukraine	1200	Rate Decision	-	15.5
Friday 18 September				
Poland	0830	Aug Industrial Output (YoY%)	8.3	5.1

Source: Refinitiv, ING

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Article | 11 September 2026

FX

FX Daily: CPI can seal the deal on a Fed hike

The bond market remains in turmoil, but this time the USD is reacting positively. This tentative rebuilding of a USD-back-end yield positive correlation bodes well for the greenback's short-term outlook. We don't think the bar is high for today's CPI to endorse a Fed hike next week. Still, a hawkish ECB means EUR/USD downside risks may be less pronounced



Markets are pricing in 18bp for next week's FOMC meeting

↑ USD: Not a high bar to cement hike bets

Oil prices and [global bond yields](#) both surged yesterday. In G10 FX, the reaction looked more like a rates story than an oil story, propagating through the global risk sentiment channel. The high-beta Australian dollar, New Zealand dollar and Norwegian krone led losses on a strong day for the US dollar, while the more defensive sterling and Swiss franc proved relatively resilient.

The dollar is tentatively re-establishing a positive correlation with long-end yields, helped by a smaller-than-expected \$6bn Treasury buyback announcement, which ultimately translated into an even smaller \$5.19bn operation yesterday. US Treasury Secretary Scott Bessent's reluctance to pick a fight with the bond market through oversized intervention remains a

necessary condition for that positive USD-back-end rates correlation to regain its footing.

Pricing for next week's FOMC inched up to 18bp yesterday, buoyed by the oil rally and a modest upward revision to July PPI, while August figures came in exactly on consensus. Today's August CPI release can provide the green light to fully price a September hike with even a marginal upside surprise. Consensus stands at 0.2% month-on-month for core and 0.4% for headline. That is also ING's macro team's expectation, and our assessment is that the acceleration in headline inflation would be enough to tilt the balance towards a hike despite still-benign core dynamics.

The picture becomes more nuanced in the event of a downside surprise. Federal Reserve Chair Kevin Warsh set a high bar for incoming data to overturn the hawkish narrative, but Christopher Waller later suggested no hike would be needed if inflation continued to improve through August. Oil may prove the deciding factor, having rallied around 15% since then. A softer CPI print could weigh on the dollar, but may not be enough to push September hike pricing below 50%, a level we suspect would be sufficient to bring any unconvinced FOMC members on board.

We continue to see upside potential for the dollar. The yen rally has stalled and is no longer exerting a negative spillover effect on USD. Developments in the Gulf leave the balance of risks skewed towards higher oil prices, while stress in bond markets is increasingly bleeding into risk assets. That combination should favour a defensive rotation back into the dollar. DXY 100.0 is starting to look less like a stretch target and more like a destination.

Francesco Pesole

↓ **EUR: Hawkish ECB reduces downside risks for now**

The European Central Bank delivered a [hawkish hike](#) yesterday. Inflation projections were revised higher across the forecast horizon, with headline and core CPI seen at 2.1% and 2.3%, respectively, in 2028. Taken at face value, those forecasts already pointed to further tightening. ECB President Christine Lagarde's press conference added to that impression, and the customary late-afternoon tip to the media removed any lingering doubt: ECB officials expect more tightening, with October firmly in play.

From a rate and FX perspective, however, this meeting was pivotal for the short-term outlook regardless of whether the ECB ultimately delivers another hike this year. The key takeaway is that it effectively gave markets the green light to preserve what is proving to be an almost uncapped correlation between oil prices and rate expectations. Around 85bp is now priced in for July, a roughly 25bp jump compared to pre-meeting.

For that reason, we have trimmed some conviction from our 1.150 EUR/USD call. Even so, while downside risks may now look less acute, they have not disappeared. Our focus remains on the

broader risk backdrop this week and on an increasingly likely Fed hike next week, when it may be the dollar's turn to receive a bullish boost from its central bank.

Francesco Pesole

↓ **GBP: Good GDP not a game changer for BoE**

Gilts took another blow yesterday, underperforming European peers. The 10-year is now eyeing 5.5%, and the 30-year is very close to 6.0%. Sterling held up well yesterday, confirming this was a purely externally driven move in gilts (which simply have higher beta to US Treasuries) and not caused by heightened fiscal concerns.

Chancellor John Healey's pledge to budget discipline is working in that sense. But it equally highlights how limited the room for any pro-growth government measure is. That, among other things, sits at odds with markets' mammoth bets on monetary tightening: 48bp by year-end, 110bp by July. Our baseline is still that the Bank of England won't hike at all, leaving sterling in front of a potential cliff-edge dovish repricing.

UK GDP surprised to the upside this morning, rising 0.4% MoM after June's strong 0.3% gain. Around half the increase came from IT, continuing a familiar trend. With IT accounting for roughly 7% of the economy but contributing a third of the UK's 1.5% annual growth rate, there may be an AI story emerging here. GBP is a tad stronger on the back of that, but these monthly growth prints have not had much impact on BoE decisions.

We continue to see upside room for EUR/GBP and downside for GBP/USD, with 4Q targets of 0.87 and 1.33.

Francesco Pesole

↓ **CEE: NBP confirms dovish stance and open door to more zloty weakness**

Romanian inflation fell from 8.2% to 6.2% in August, lower than the market expected. The decline mainly reflects a base effect from last year's VAT increase under the government's fiscal consolidation programme. Encouragingly, monthly inflation also slowed from 0.6% in July to 0.2% in August. Turkey will publish inflation expectations later today, after the Central Bank of Turkey kept rates unchanged at 37% yesterday, as expected. We expect the first rate cut in 4Q26, followed by two 100bp moves, allowing more time to assess the recent resumption of liquidity auctions.

The National Bank of Poland delivered no surprises yesterday, while the governor remained dovish relative to peers, market pricing and the global backdrop. Although he acknowledged the recent rise in inflation, he sees no need to adjust rates, potentially until mid-next year,

when weaker GDP growth should begin to ease price pressures.

EUR/PLN rebounded to 4.320-4.330, in line with yesterday's range, as dovish repricing narrowed the rate differential. We see scope for a further move towards 4.330-4.340 today. Rates are edging only modestly, with energy prices still driving the market. Delayed rate hikes remain the baseline, and a dovish tone should steepen the curve further, even though Poland already has the steepest curve in emerging markets.

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Article | 11 September 2026

RATES

Rates Spark: The heat ratchets higher

The US back-end remains untethered. Over to the Fed to see if it can tame it. Probably not; see more [here](#). US CPI is up next, and then it's decision time. Meanwhile, the ECB is showing the Fed the way. Energy prices are also reigniting pressure on rates



US CPI for August would have to be stunning to avert the inevitable

Energy prices remain in the driving seat, not the ECB

The day the European Central Bank hiked rates was not so much about the policy decision or what ECB President Christine Lagarde said in the press conference. The hike was a “no-brainer,” in Lagarde’s own words, and was already largely priced in. Lagarde did not offer any concrete guidance around the ECB’s next moves, highlighting that “the outlook remains highly uncertain, with risks to the upside for inflation and to the downside for economic growth.”

Energy prices were the actual driver of the market dynamic – though to be fair, the ECB and US data did not stand in the way of it. As Brent prices pushed further above US\$100/bbl, the EUR front-end had moved in lockstep and started to fully discount three more ECB hikes by mid next year. That implies a depo then landing at 3.25% at least. Pushing pricing beyond that would require scenarios where the ECB either hikes at meetings without new projections, or more than 25bp at meetings where it has new projections.

The by now almost customary ECB sources story later on Thursday brought October into play,

suggesting at the same time that December might still be more appropriate. Of course, the longer view that the market now still broadly contemplates is one where the ECB keeps rates on hold at 3.25% from mid-year, and that landing level might well be questioned next if energy markets do not calm. [Our economists point out](#) that the ECB's new set of projections forecasts inflation above target for too long, and that, based on the assumption of one or two more hikes, leaves a hawkish aftertaste.

Looking even further out the curve, the 10y Bund yield topped the 3.5% mark. The last time it did so was in 2011 on one day. Spreads versus swaps have tightened since then, so if one looks at the 10y swap rate, it has now topped the 3.5% mark for the first time since 2023. But also note that in 2023 the swap rate was above 3.5% only on 8 trading days spread out over roughly a month – and with an ECB depo rate at 4%.

We would argue that pricing does start to look stretched, but with the [US long-end remaining untethered](#) and geopolitical tensions pointing to higher energy prices, it is hard to stand in the way of that dynamic.

Friday's events and market view

All eyes will be on the US CPI release as it should help shape the upcoming Federal Reserve decision. Headline CPI is expected to come in at an unchanged 3.4% year-on-year, and the core rate at 2.4%, slightly lower versus the previous month. The main focus will be the core CPI rate, where consensus is eyeing a 0.2% month-on-month rate. We think anything higher should tip the balance further towards a hike, with energy price dynamics only adding to underlying pressures again. We will also get the University of Michigan consumer sentiment index. It's expected to come in softer, accompanied by short-run inflation expectations nudging higher.

During the European morning we will get UK GDP and industrial production data, but thereafter no other releases of note. The ECB's Lagarde and Chief Economist Philip Lane will speak, but we also expect other commentary in the wake of the ECB meeting.

The countries of note slated for possible rating reviews after markets close are Spain (by Fitch A/Stable and S&P A+/Stable) and Italy (Fitch BBB+/Stable).

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Article | 10 September 2026

COMMODITIES, FOOD & AGRI

Tariff uncertainty tests copper's record rally

Copper has fallen sharply from a fresh record after Reuters reported that a US decision on refined copper tariffs has not yet been made. The move shows how a growing tariff premium has pushed prices ahead of current fundamentals



Copper's reversal highlights the gap between prices and fundamentals

Copper fell more than 3% on Thursday after hitting a record \$14,875/t on the London Metal Exchange earlier in the session.

The sell-off followed a [Reuters report](#) that the White House has yet to decide whether to impose tariffs on refined copper. Officials are weighing support for domestic production against the risk of higher costs for US manufacturers.

Until now, the market had largely assumed that tariffs would go ahead. The latest news has challenged that view and taken some of the tariff premium out of copper prices.

Tariff premium drives prices higher

Refined copper was excluded from the 50% tariffs imposed last year on certain semi-finished and derivative copper products.

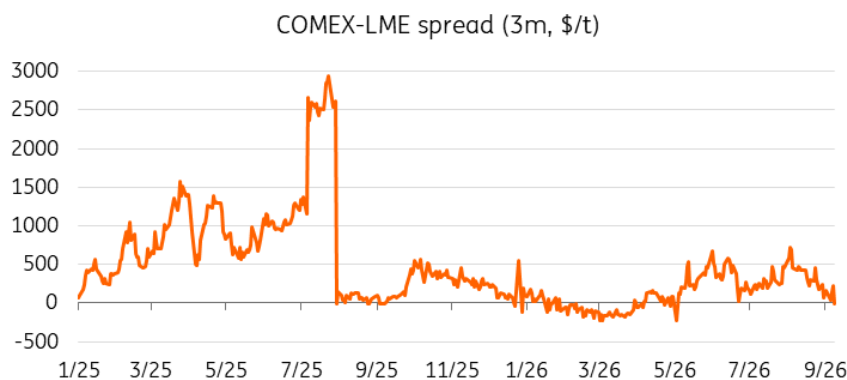
The Commerce Department was due to update the president by the end of June on whether

refined copper should face a 15% tariff from January 2027, rising to 30% in 2028. No decision has been announced.

The prospect of tariffs pushed COMEX prices above the LME, opening a profitable import window. Traders moved more copper to the US to take advantage of the price gap.

But the tariff premium has not been limited to the US. The movement of metal into American warehouses reduced availability elsewhere, helping to lift LME prices.

US tariff premium drives copper higher



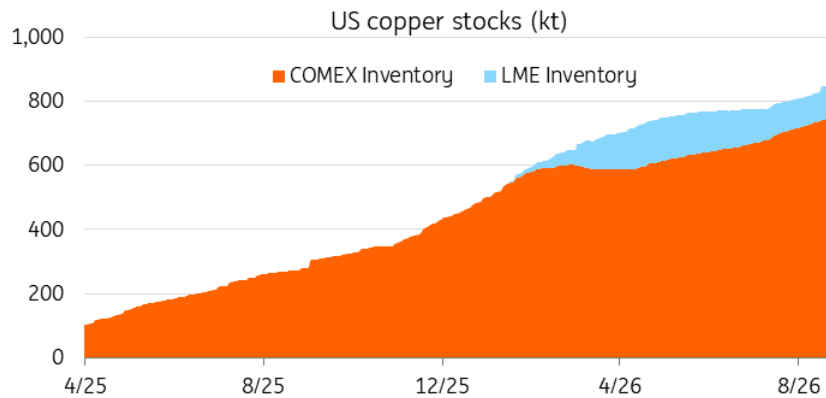
Source: COMEX, LME, ING Research

Copper piles up in the US

July inflows topped 220,000 tonnes, setting a monthly record. By early September, COMEX warehouses held around 680,000 metric tonnes – roughly eight times the volume recorded at the beginning of 2025. Market estimates put total US holdings above one million tonnes once copper outside the exchange system is included.

This has left the US well supplied while inventories available elsewhere have fallen. If the tariff premium between New York and London narrows, shipping more metal to the US will become less attractive. Some stocks could eventually return to international markets.

Copper inventories shift to the US



Source: COMEX, LME, ING Research

Prices run ahead of fundamentals

Copper's longer-term fundamentals remain supportive. ICSG data show that mined output was 1.1% lower year-on-year in the first half. Without a stronger recovery during the remainder of 2026, this would be the first annual contraction in mine supply since 2017.

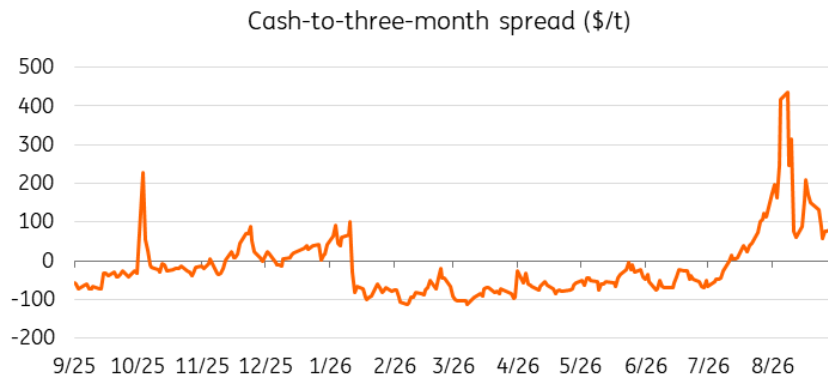
Falling ore grades and long project development times will continue to constrain supply, while demand from power grids, electric vehicles and data centres remains strong.

However, the refined market is not yet facing an outright shortage. Refined production rose 2.4% in the first half, leaving a preliminary surplus of around 131,000 tonnes, according to ICSG.

Some indicators of immediate tightness have also eased. LME inventories have stabilised this month, while pressure at the front of the LME curve has eased. Although cash copper still trades above the three-month contract, the backwardation has narrowed considerably from its August peak. Nearby supply remains tight, but conditions are less stretched than they were last month.

These signals suggest that the move towards \$15,000/t had run ahead of current fundamentals.

LME copper backwardation eases from August peak



Source: LME, ING Research

Tariff decision remains key

Either way, the arbitrage will eventually close. If tariffs are ruled out, the US premium should narrow and some metal could return to international markets. If they go ahead, imports could rise again before the duties take effect, but should slow afterwards.

Copper's longer-term outlook remains positive. But the latest reversal shows that prices remain vulnerable to any further weakening in tariff expectations.

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Article | 7 September 2026

MANUFACTURING, CONSTRUCTION AND RETAIL GERMANY

German construction is turning the corner, but slowly

German construction is set for a cautious recovery, with growth returning in 2026 and further strengthening in 2027. Housing and infrastructure will drive the rebound – but high costs, labour shortages, weak non-residential demand and delays will keep it gradual



The German construction sector seems to be past its worst point, but a full recovery is going to be gradual

Back to growth

For 2026 and 2027, we expect the German construction sector to start growing again. A welcome turning point, as the past years were troublesome. As the German construction sector is the largest in Europe, it contracted by more than 10% between 2020 and 2025. For 2026, a 1% growth rate is anticipated, followed by 2% in 2027, driven by a gradual recovery in the new residential market and increased infrastructure investment.

German construction underperforms

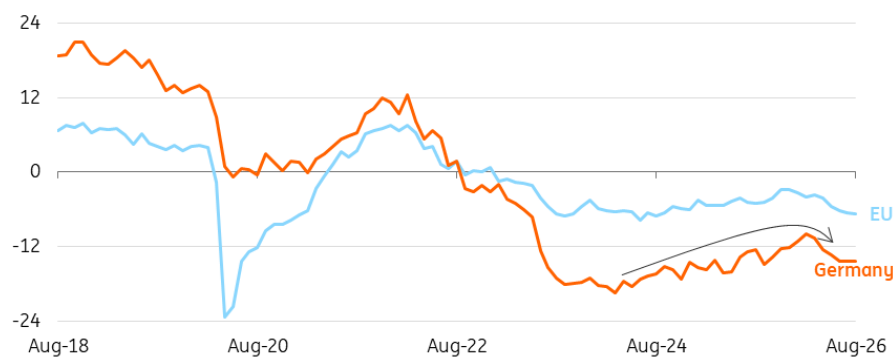
In recent years, the German construction sector has underperformed the European average. While European construction output recorded an average annual growth of 1.75% over the past five years, Germany's sector declined. Higher building material costs, increased interest

rates and geopolitical uncertainty have made investors more cautious about starting new projects. Also, weaker economic growth in Germany has further weighed on demand for new real estate and infrastructure investment.

As a result, Germany's construction confidence indicator has been more negative than the European average since 2022. Sentiment improved slightly for a while but began to decline again in March this year, following the outbreak of the Iran war.

German contractors still pessimistic

Confidence indicator construction sector



Source: Eurostat, ING Research

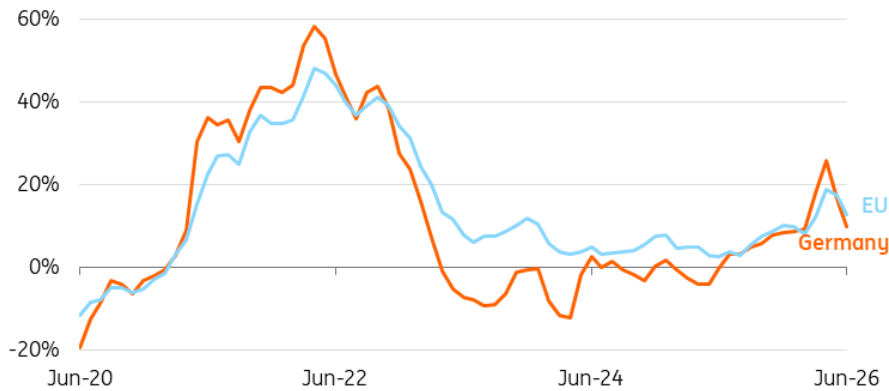
Hormuz crisis adds new uncertainty to construction costs

German contractors are feeling the effects of the conflict in the Middle East, although the direct impact of higher gas and oil prices is limited. [Germany's building materials industry](#) still relies relatively heavily on coal, making production costs less directly dependent on gas and oil. As a result, producers have faced less pressure to pass on higher energy costs.

At the same time, weak construction activity and stronger competition have limited contractors' ability to raise prices. Therefore, price expectations have increased somewhat since the start of the conflict but have moved back to pre-war levels.

Planned price hikes fall back to previous levels

Balance of EU construction companies that expect to increase -/- decrease output prices (over next 3 months)



Source: European Commission, ING Research

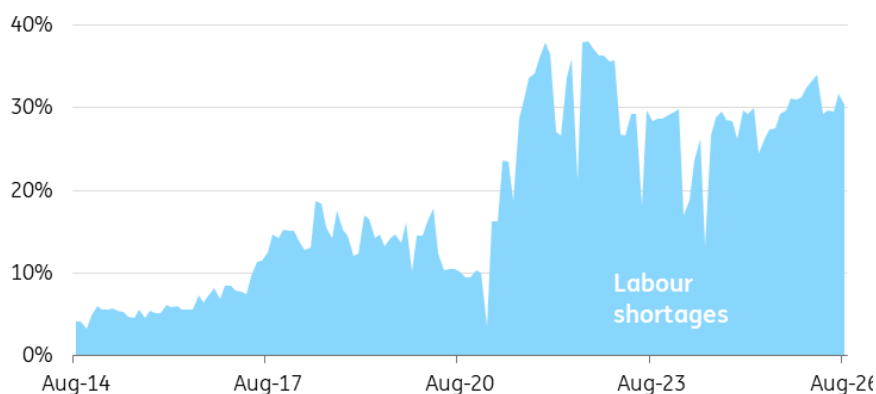
Labour shortages are structural

Labour shortages remain a serious and increasingly structural challenge in German construction. In August, 30% of German contractors reported labour shortages. This is particularly concerning because construction output has been declining for several years, which would normally reduce demand for workers. The problem is largely driven by an ageing workforce and is unlikely to disappear, especially when activity starts to improve again.

To address this long-standing constraint, companies will need to invest more in efficiency gains through [industrialisation](#) and [digitalisation](#). Construction companies can also ease labour shortages by investing in internships and relationships with technical schools. Attracting young talent at an early stage and creating clear career paths can help companies build a more sustainable workforce.

Labour shortages are becoming structurally high

% German construction firms that have to limit the production because of labour shortages:



Source: European Commission, ING Research

Low water levels

Low water levels are creating another [supply chain risk](#) for German construction. Many raw materials used in building materials, such as sand, gravel and chemicals, are transported by inland waterways. When river levels are low, barges can carry less cargo, which increases transport costs and delays deliveries to contractors. However, the impact has remained limited until now. In August, 4.3% of construction companies reported production constraints due to material shortages. This is above the usual August level of around 1-2%, but below the 5.1% recorded during the low-water period in August 2018.

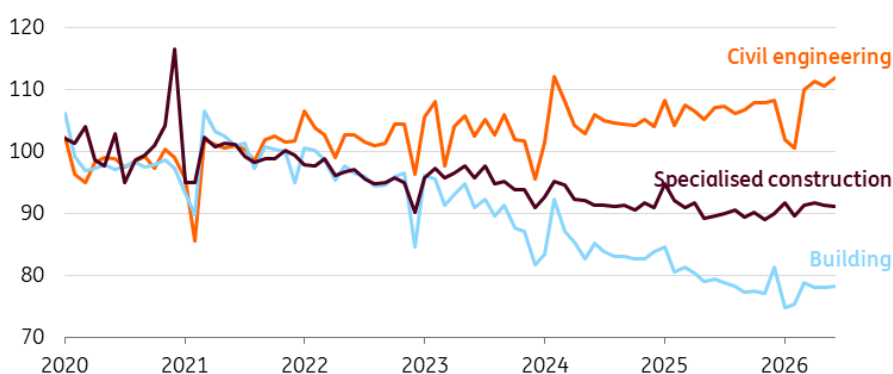
Wide differences across subsectors

Among German construction subsectors, building construction (residential and non-residential) has suffered the steepest decline, with output falling by more than 20% in recent years. Higher interest rates, rising construction costs and cautious consumers and investors amid economic uncertainty have weighed on activity. Specialised construction, such as carpentry, painting and installation work, recorded a more moderate decline.

While this segment has been affected by weaker new construction, it has benefited from stronger demand for insulation and energy efficiency improvements as energy costs have risen. Infrastructure (=civil engineering) performed better, supported mainly by investment in railways and energy projects. There are now early signs that the government's planned infrastructure investment is beginning to reach the construction sector. We discuss each subsector in more detail below.

Decline in German building sector

Development Construction sector volume, latest data point June 2026 (Index January 2020=100, SA)



Source: Eurostat, ING Research

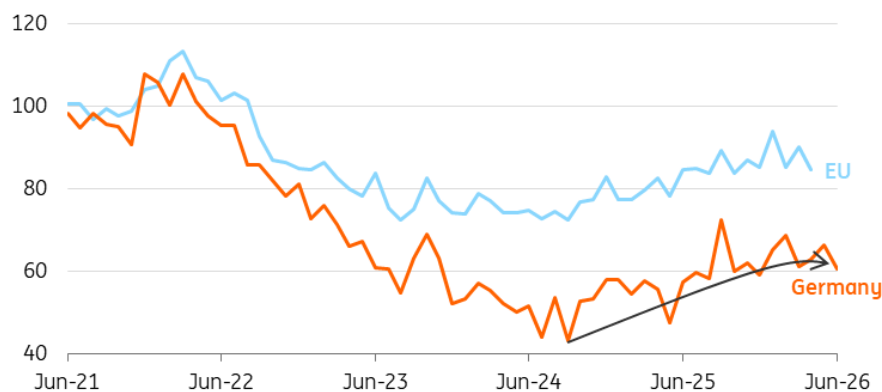
Recovery in new residential building

There have been signs of improvement in the new residential market. The number of permits

issued for new houses is an important indicator. Typically, it takes between one and two years from the granting of a permit to the completion of a new home. The number of permits has been increasing since the end of 2025. By June 2026, the level was 17% higher than two years earlier but still far below the levels of 2021 and 2022, and momentum appears to have stalled a bit in recent months.

Permits edge higher but momentum weakens

Building permits new dwellings, SA (index 2021=100)



Source: Eurostat, ING Research

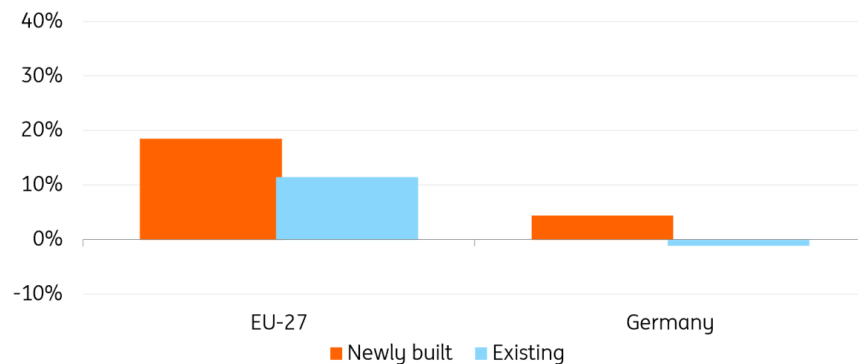
To speed up the building process, the German government has announced the 'housing construction turbo (Bau-Turbo)' to expedite planning and authorisation of new projects in popular living areas. The federal government has introduced this measure, which could accelerate construction and move many projects forward more quickly. However, its impact will largely depend on the willingness of local authorities, who may hold back because of concerns about losing control and legal uncertainty. Lending rates have also edged up since the start of the year, while slower wage growth has put further pressure on affordability.

Business case for new houses remains complicated

Housing shortages remain severe in many German urban areas, but the business case for new housing projects is still difficult. Although permits are rising, construction costs have also increased. Builders and project developers often cannot pass these higher input costs on to buyers because prices for [existing homes](#) are still lower than they were three years ago. Buyers can choose between a new build and an existing house. If new homes become relatively more expensive because of higher building material costs, many are likely to choose an existing property instead.

German house prices lag behind Europe

House price developments 2026 Q1 compared to 2023 Q1



Source: Eurostat, ING Research

Office and industrial market under pressure

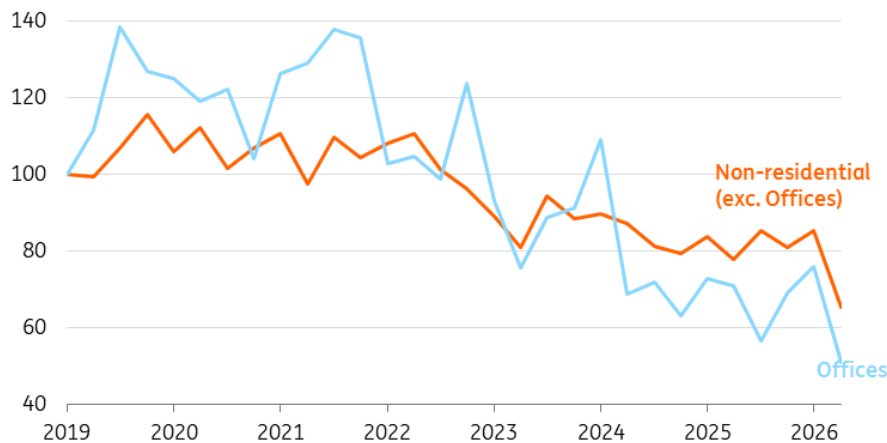
Non-residential building accounts for around 25% of total German construction output. It is a diverse subsector, covering healthcare and education buildings as well as industrial and office properties. The latter two are the largest segments, each representing about 6% of construction output in 2025.

The non-residential market has faced headwinds in recent years. The office and industrial market, in particular, has been negatively affected by economic uncertainty and the hybrid work trend in offices. This has resulted in a sharp decline in the issuance of building permits for new offices. During the second quarter of 2026, the amount of permitted floor space for new offices declined by more than 40% compared with 2022. In addition, new orders from the manufacturing sector have fallen short due to low capacity utilisation, fierce international competition and high energy prices in Europe. However, German industry has recently benefited modestly from the conflict in the Middle East.

Companies are also holding back on investment as recent crises, trade disputes, weak domestic conditions, bureaucracy and taxes are resulting in declines in the issuing of building permits for other non-residential buildings. The planned construction of several gas-fired power stations to stabilise the grid, alongside new defence-related capacity, should provide some support to demand. Yet, the outlook is very dependent on the Middle East conflict and energy price developments.

Decline of issued permits in non-residential sector continues

Buildings permits in m2 in Germany ,Index 2019 Q1 = 100 SA (Last datapoint Q2 2026)



Source: Eurostat, ING Research

Renovation market

Renovation accounts for more than 70% of Germany's total construction output, generating roughly €330bn in annual revenue.

The renovation market's share has risen steadily as new construction has weakened, but this is only part of the story. Germany's large stock of ageing buildings and infrastructure also supports structurally higher renovation volumes.

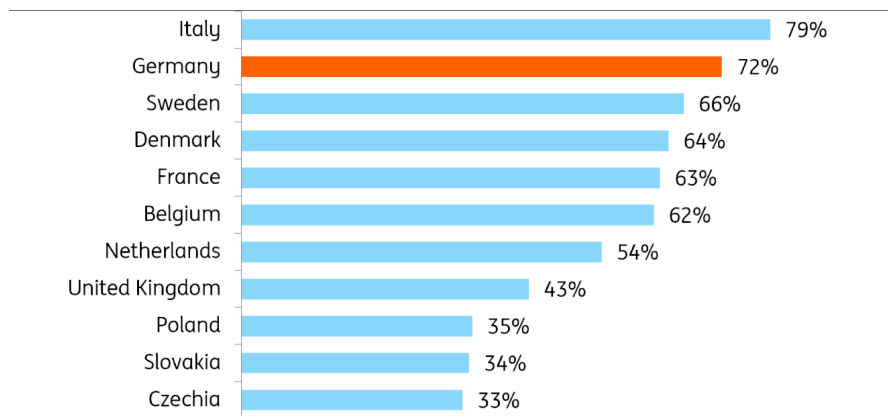
As structures age, they require repairs, upgrades and modernisation to ensure safety, functionality and efficiency. In addition, developed countries typically have stricter building codes, safety regulations and environmental standards. Compliance with these regulations often requires periodic upgrades and renovations.

This narrative also applies to Germany. In Eastern Europe, where new construction still plays a larger catch-up role, renovation accounts for a smaller share of the market. In addition, Germany's declining new construction volumes also lift renovation's share.

Looking ahead, we expect the renovation market to grow gradually, supported by overdue maintenance and the need to improve the sustainability of ageing buildings and infrastructure.

German share of renovation sector is large

Renovation share of total building production, 2025



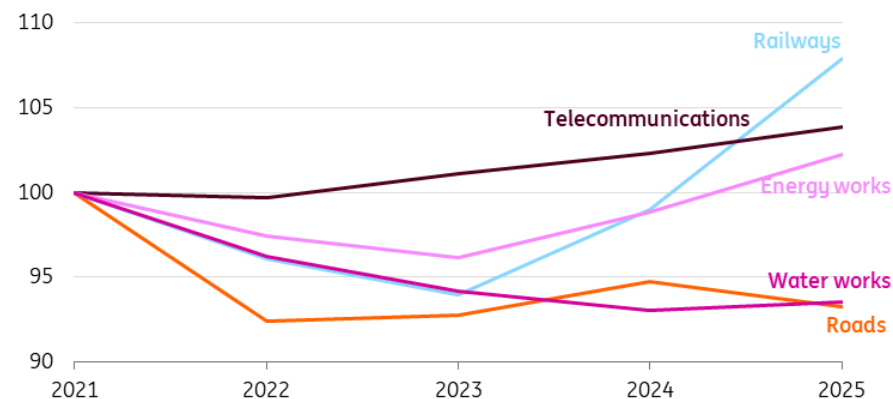
Source: Euroconstruct, ING Research

Infrastructure growth survives

In Germany, infrastructure investment continued to grow in 2025, increasing by around 1.5%. The positive trend carried into the first half of 2026, although momentum remained modest, with output rising by about 1.2% compared with the same period a year earlier. This was a good performance, as construction volumes were held back by a cold and wet winter, which temporarily disrupted activity on infrastructure sites.

Highest growth railways infrastructure investments

Volumes infrastructure subsectors Germany, Index 2021=100



Source: Euroconstruct, ING Research

Road works (more or less 20% of all infrastructure output) remain under pressure because many local authorities face budget deficits (see also below Germany's €500bn fund). Public funding is being directed towards a range of investment and spending priorities, leaving only limited support for road construction.

Telecommunications construction has recorded modest growth in recent years, supported by Germany's fibre optic rollout and investments in mobile network infrastructure. Germany still

has significant catch-up potential compared with many other European countries, suggesting further investment needs in the years ahead.

The **energy sector** has been growing since 2024, driven by investments in renewable energy and the expansion of electricity grids. Growth is expected to remain strong through 2027 as Germany continues upgrading its power infrastructure to support the energy transition and rising electricity demand.

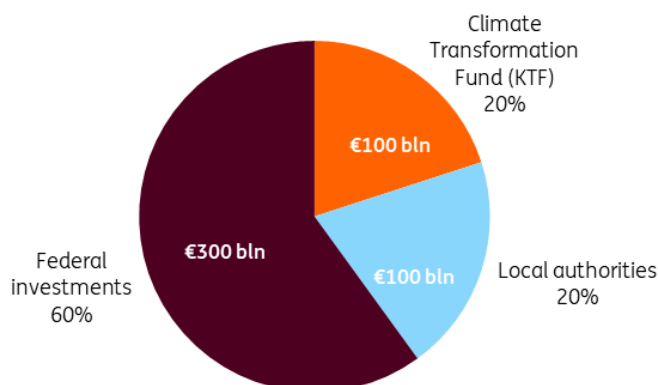
Railway construction is the only major infrastructure segment showing strong growth. The recent increase in activity is largely renovation-led rather than driven by new rail lines, with substantial federal funding and Deutsche Bahn's nationwide network renewal programme boosting spending on upgrades. A major project is the modernisation of the 278km Hamburg-Berlin rail corridor, which started in 2025. Together with the earlier refurbishment of the Riedbahn corridor, it illustrates Germany's large-scale programme to renew ageing rail infrastructure. Growth is expected to moderate from 2027 onwards as funding momentum weakens and much of the current renovation backlog has already been addressed.

Germany's €500bn fund

Germany's €500bn Special Purpose Vehicle (SPV) for Infrastructure and Climate Neutrality has now moved from political announcement to implementation, but the impact on construction activity will be gradual rather than immediate. The SPV was launched in 2025 and is designed to run until 2034, with money available for transport infrastructure, digitalisation, education, hospitals, housing construction and climate-neutral investment. The federal government, Länder and municipalities are all expected to benefit, while a sizeable share is reserved for the Climate and Transformation Fund.

"Additional" package German investments in infrastructure & climate neutrality

Special Fund 'Infrastructure and climate neutrality 2025-2034

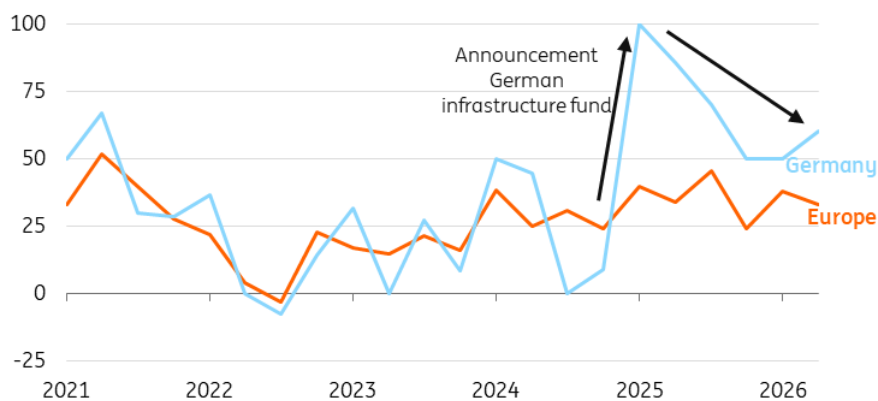


Source: Federal financial plan 2025-2029, Euroconstruct & ING Research

However, the boost will not arrive evenly, nor will it materialise overnight. The roll-out has been slower than originally planned. Administrative requirements, planning procedures and capacity constraints at federal-state and municipal levels have delayed the disbursement of some funds. The €500bn may overstate the real additional impulse for construction. Part of the special fund risks will be used to ease pressure on the regular federal budget rather than to finance new additional investment. The fund should improve order books from late 2026 onwards, but the largest effect is more likely to be seen in 2027 and beyond, once projects have moved from planning into tendering and execution.

Long-term expectations among German contractors improved only temporarily

12 months expectations infrastructure and public works



Source: RICS, ING Research

RICS survey data shows that German infrastructure professionals became much more optimistic when the €500bn infrastructure fund was first announced around a year ago. At that point, the fund was widely seen as a major additional boost for future construction activity, raising expectations for stronger order books and higher output. However, that optimism has since faded. As more details emerged, it became clear that part of the fund would also be used to fill holes, not in the roads but in existing public budgets, rather than finance fully additional infrastructure projects. As a result, expectations have become more cautious again, although they remain at a somewhat higher level. The fund still supports the medium-term outlook, but the initial euphoria has given way to a more realistic view of a slower and less powerful impulse.

German construction has passed its lowest point

All in all, the German construction sector seems to be past its worst point, but the recovery will be gradual. Residential building is starting to benefit from rising permits, renovation remains supported by Germany's ageing building stock, and infrastructure should gain momentum

from the special fund over time. At the same time, weak non-residential demand, structural labour shortages, higher construction costs and implementation delays will continue to limit the pace of growth. After several difficult years, 2026 and 2027 therefore look set to mark a turning point – but not yet a strong construction boom.

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